BASIS OF ESTIMATES – COST ESTIMATING WORKSHEET

Project Title:		Date Prepared:	

Documents the estimating techniques used to derive activity cost estimates: parametric, analogous, and three-point. Bottom-up estimates are on the next page.

Parametric Estimates

ID	Cost Variable	Cost per Unit	Number of Units	Cost Estimate

Analogous Estimates

ID	Previous Activity	Previous Cost	Current Activity	Multiplier	Cost Estimate

Three-Point (PERT) Estimates

ID	Optimistic	Most Likely	Pessimistic	Equation	Expected Cost

PERT (beta) weighting: tE = (O + 4M + P) / 6. Used for activities with significant uncertainty.

BASIS OF ESTIMATES – BOTTOM-UP COST ESTIMATING

Project Title:		Date Prepared:	

Bottom-up estimate decomposes selected work packages into cost components: labor, material, supplies, equipment, travel, other direct costs (ODC), indirect costs, and reserve.

ID	Labor Hrs	Labor Rate	Total Labor	Material	Supplies	Equipment	Travel	Other Direct	Indirect	Reserve	Estimate

Indirect costs at 10% of direct labor (firm-standard overhead). Activity-level reserve covers uncertainty in the individual estimate; project-level contingency is tracked separately on the Activity Cost Estimates form.

BASIS OF ESTIMATES – SUMMARY NARRATIVE

Project Title:		Date Prepared:	

Approach

Source of Information

Assumptions

Constraints

Estimate Range & Confidence

Risks & Reserves

Approval